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Central Government Employees Group Insurance Scheme, 1980

Updated & Verified Edition — June 2026

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Scope and Objective

- The Central Government Employees Group Insurance Scheme (CGEGIS) was notified by the Ministry of Finance, Department of Expenditure vide O.M. dated **31 October 1980** (i.e., with effect from **1 November 1980**).
- The Scheme came into force on **1 January 1982**.
- It provides, at a low cost and on a wholly contributory and self-financing basis, the twin benefits of an insurance cover to help the family in the event of the unfortunate death of the employee while in service, and a lump-sum payment to augment the employee's resources on retirement, resignation, etc.

Applicability

- The Scheme applies to all Central Government servants, including those in the Railways and the Department of Posts.
- Civilian employees paid from the Defence Services Estimates are covered; however, members of the Armed Forces and personnel covered by their own separate group insurance schemes are **not** covered.
- Work-charged staff, if they are regular Central Government employees, fall under the Scheme.
- Industrial employees, if they are regular Central Government employees, are included.
- Central Government servants on deputation/foreign service from the Centre to State Governments, autonomous bodies, PSUs, UTs, etc. remain covered.
- The Scheme is compulsory for all regular employees, **including canteen employees** (employees of departmental canteens, who were conferred the status of Government employees w.e.f. **01-10-1991**).

Non-Applicability

- The Scheme does not apply to **contract employees**.
- Persons on deputation to the Central Government from State Governments/UTs/PSUs/autonomous bodies, etc. are excluded.

- Part-time and ad hoc employees do not fall under the Scheme.
- Persons recruited in the Central Government after attaining the age of **50 years** are excluded.
- Casual labourers are not covered.
- Re-employed Defence personnel are excluded if they enjoy extended insurance cover under their earlier (Defence) scheme.

Membership / Enrolment

- The Scheme is compulsory for all employees who entered service after **1 November 1980**.
- Employees are enrolled as members of the Scheme only from **1st January** every year.
- If an employee enters service on or after **2nd January** in any year, he will be enrolled as a member only from the **1st January of the next year**.
- However, from the actual date of entry into service till the end of that calendar year, he will be entitled to the appropriate insurance cover **only**, on payment of premium equal to the **Insurance Fund component** of the subscription — i.e., **Rs. 4.50 per month per unit of Rs. 15,000 cover** (Rs. 9 for Group 'C', Rs. 18 for Group 'B', Rs. 36 for Group 'A'). The full subscription (Insurance + Savings) is recovered only from enrolment as a member.
- The earlier Central Government Employees Insurance Scheme (CGEIS), 1977 stood discontinued from **01-01-1982**.

Scheme Funds Structure

- **Insurance Fund** – in the case of death in service, the insurance amount is paid to the nominee/legal heir of the Government servant.
- **Savings Fund** – the Savings Fund accumulation with interest is paid to the Government servant on retirement, resignation, quitting service, etc.; in the case of death of the Government servant it is paid to the nominee or legal heirs, as the case may be, together with the Insurance Fund amount.

Subscription Ratio between the Two Funds

- W.e.f. **01-01-1982 to 31-12-1987**: Insurance Fund **31.25%** and Savings Fund **68.75%**.
- W.e.f. **01-01-1988** onwards: Insurance Fund **30%** and Savings Fund **70%**.

Rate of Monthly Subscription and Amount of Insurance Cover

Group	Monthly Subscription	Insurance Cover
Group 'A'	Rs. 120	Rs. 1,20,000
Group 'B'	Rs. 60	Rs. 60,000
Group 'C'	Rs. 30	Rs. 30,000

- The above rates (one unit = subscription of Rs. 15 per month for an insurance cover of Rs. 15,000) are effective from **01-01-1990** vide MoF, DoE O.M. No. F.7(5)-EV/89 dated 15-05-1989, and continue in force; the 7th CPC recommendation for enhancement was not accepted.
- Erstwhile Group 'D' employees placed in PB-1 with Grade Pay Rs. 1,800 and classified as Group 'C' subscribe @ **Rs. 30 per month from 1 January 2011** (insurance cover Rs. 30,000), vide MoF, DoE O.M. No. 7(1)/EV/2008 (September 2010); for Railways, RBE No. 145/2010 dated 06-10-2010.

Recovery of Subscription

- The first subscription falls due from the date of joining Central Government service; subsequent subscriptions fall due on the **1st day of every month**.
- The subscription is recovered by deduction from the salary/wage of the employee for that month. For example, the subscription for January 2026 is recovered from the salary/wage for January 2026 payable on the last working day of that month.
- If the employee is on deputation or on foreign service, the borrowing authority/foreign employer shall arrange deposit of the subscription to the relevant Head of Account.

- In the case of foreign service out of India, the employee shall arrange to remit the amount to the parent department; the Accounts Officer of the parent department is responsible for accounting, payment, etc.
- Subscription is recoverable till the end of service, including the month in which the employee retires, dies, resigns or is removed from service, etc.
- Subscription is recoverable whether the member is on duty, on leave or under suspension.
- If the employee dies during a month before recovery of the subscription for that month, the same is recovered from the amounts/benefits payable to his family/nominee(s).
- If the employee is on extraordinary leave (EOL) for any period, the arrears of subscription are recovered with interest (at the rate admissible under the Scheme on accretions to the Savings Fund) from his salary, in not more than **three instalments**, commencing from the month following that in which he resumes duty.
- If the employee dies while on EOL, the arrears of subscription due from him are recovered, with interest, from the benefits payable to his family under the Scheme.
- No interest is levied on arrears of subscription if the non-recovery is due to delayed payment of salary/wage.
- If an employee disappears, the full subscription at the rate applicable on the date of disappearance is payable for **one year** following the month of disappearance; thereafter, premium for the insurance cover (i.e., the Insurance Fund component of the subscription) is payable for the **next six years**, or till the month in which the insurance cover is paid, whichever is later.

LEGISLATIVE NOTE: Standard references state the position as: full subscription for the first year, and thereafter "reduced subscription for the insurance premium alone" for the next six years. The Insurance Fund component is **30%** of the subscription, i.e., Rs. 4.50 per unit of Rs. 15,000 cover (Rs. 9 per month for a Group 'C' cover of Rs. 30,000). Figures such as "Rs. 5 per Rs. 15,000" or "Rs. 5 per thousand per annum" appearing in some compilations and audit notes could **not** be confirmed against any primary source and should not be quoted in the exam; rely on the 30:70 apportionment. (The only "per-thousand-per-annum" figures in CGEGIS literature are the mortality rates — 3.75 up to 31-12-1987 and 3.60 thereafter — used by MoF in constructing the Tables of Benefits, per the 7th CPC Report, para 9.3.7.)

- The subscription for the said one year and the insurance premium for the six years may be recovered, with interest, from the amounts payable on account of the Savings Fund and the Insurance Fund respectively.

Promotion During the Year

- On regular promotion of an employee from one Group to another after 1st January in any year, his subscription is raised only from the **1st January of the next year**.
- Example: a Group 'C' employee is promoted to Group 'B' on 01-08-2025. His subscription and insurance cover continue to be Rs. 30 and Rs. 30,000 respectively till the end of December 2025; from **January 2026**, they are raised to Rs. 60 and Rs. 60,000 respectively.
- Once an employee is promoted (on a regular basis) to the higher Group, his subscription and insurance cover continue at the higher rate even if he is subsequently reverted to the lower Group.

Benefits Payable

- If an employee ceases to be in service due to retirement, resignation, etc., he is entitled to payment of the lump-sum accumulation in the **Savings Fund alone**, as per the Table of Benefits for the relevant period.
- If an employee dies while in service, his family/nominee(s) is entitled to the lump-sum amount in the Savings Fund **and, in addition**, the amount of the appropriate insurance cover to which he was entitled at the time of death.
- If an employee dies while in service before becoming a member of the Scheme (i.e., during the pre-enrolment period when only the insurance premium is

being paid), his family/nominee(s) is entitled to payment of the appropriate insurance cover only; no benefit is payable from the Savings Fund.

Tables of Benefits (Savings Fund)

- Tables of Benefits for the Savings Fund are issued by the Department of Expenditure on a **quarterly basis from 01-01-2017** onwards (DoE O.M. No. 7(1)/EV/2016 dated 17-03-2017, which also simplified the procedure for payment of CGEGIS dues).
- The Tables are worked out by IRDAI on the basis of the interest rate notified by the Department of Economic Affairs for the quarter, compounded quarterly.
- Two categories of Tables are issued: the first based on a unit subscription of Rs. 10 p.m. from 01-01-1982 to 31-12-1989 and Rs. 15 p.m. w.e.f. 01-01-1990; the second based on Rs. 10 p.m. for employees who opted out of the revised rate of subscription w.e.f. 01-01-1990.

> **UPDATE (verified, June 2026):** The latest Table of Benefits is for the quarter **01-04-2026 to 30-06-2026**, based on an interest rate of **7.1% per annum (compounded quarterly)** notified by the Department of Economic Affairs (Resolution No. 5(3)-B(PD)/2023) — DoE O.M. No. 7(1)/EV/2023. The rate remains aligned with the GPF interest rate.

Financing from GPF/CPF

- This is not permissible, except where the financial position of an employee does not permit him to contribute to both the GPF/CPF and the Group Insurance Scheme; in such a case he may be permitted a non-refundable withdrawal from the GPF/CPF account of an amount equivalent to **one year's subscription** paid towards the Scheme. (The GPF (CS) Rules, 1960 themselves list, among the purposes of withdrawal, an amount equivalent to one year's subscription paid towards the Group Insurance Scheme — once during a financial year.)

Income Tax Treatment

- Deduction is admissible under **Section 80C** of the Income-tax Act, 1961 for the amount of subscription paid under the Scheme.

LEGISLATIVE NOTE: The 80C deduction is available only under the **old tax regime**. Under the new (default) regime u/s 115BAC — the default from AY 2024-25 by virtue of the Finance Act, 2023 — Chapter VI-A deductions such as 80C are not available. CGEGIS subscription continues to be compulsorily recovered irrespective of the regime opted.

Head of Account

- Transactions under the Scheme are booked in the **Public Account of India** under Major Head **8011 – Insurance and Pension Funds**, Minor Head 103 – Central Government Employees' Group Insurance Scheme (i.e., **8011.00.103**), with separate sub-heads for the Insurance Fund and the Savings Fund.

CORRECTION: The figure "Major Head 811" printed in the earlier edition was incorrect. The correct Major Head is **8011** (reiterated in the CGA, Ministry of Finance Master Circular on the CGEGIS Accounting Procedure dated 17-02-2026). There is no individual (subscriber-wise) accounting under the Scheme.

No Withdrawals / Loans / Advances from the Funds

- No member or other beneficiary of the Scheme is allowed to withdraw any amount from the Insurance Fund or the Savings Fund.
- No loans or advances are permissible against the accumulations in the Insurance Fund/Savings Fund.

Assignment of Insurance Cover and Savings Fund

- Employees may assign their insurance cover and accumulations in the Savings Fund in favour of a recognised financial institution as security for loans for the construction/purchase of a house/flat (request on **Form No. 11**).
- Permission is granted by the **Head of Department** (on **Form No. 12**) and the documents are pasted in the Service Book of the employee.

No Recovery of Government Dues from Scheme Benefits

- No recovery can be made from the amounts payable under the Scheme, except dues under the Scheme itself, or as specially authorised by the employee (e.g., payment of outstanding dues to a financial institution on the employee's specific authorisation).

Nominations

- If an employee has a family at the time of making a nomination, he shall make the nomination only in favour of a member or members of his **family**.
- A member may, at any time, cancel a previous nomination by giving notice and furnishing a fresh nomination.
- Nominations received from members are countersigned by the **Head of Office**, pasted in the Service Book, and a necessary entry is made in the Service Book.

> **LEGISLATIVE NOTE:** DoP&PW has also prescribed a **common nomination form (Form 3)** covering, in a single form, nomination for (i) gratuity under Rule 46 of the CCS (Pension) Rules, 2021, (ii) GPF under Rule 5 of the GPF (CS) Rules, 1960, and (iii) amounts payable under Para 19.7 of the CGEGIS, 1980. The Scheme-specific Forms 7/8 remain valid; the combined Form 3 is in use for fresh nominations in many offices.

'Family' for the Purpose of the Scheme

- **Male subscriber** – wife or wives, parents, children, minor brothers, unmarried sisters, deceased son's widow and children and, where no parent of the subscriber is alive, a paternal grandparent.
- **Female subscriber** – husband, parents, children, minor brothers, unmarried sisters, deceased son's widow and children and, where no parent of the subscriber is alive, a paternal grandparent.
- When an employee dies without leaving a valid nomination under the Scheme, the amount due may be paid in accordance with the nomination, if any, made by the deceased employee under the GPF/CPF.

- If there is no valid nomination even for GPF/CPF, payment is made **in equal shares to the widow(s)/minor sons and unmarried daughters**; when none of these are alive, payment is made to the other members of the family in equal shares.
- Production of a **succession certificate** is relevant only where payment has to be made to legal heirs in the absence of any surviving member of the family; it is not required for payment to family members in equal shares.

Payment when an Employee is Missing / Untraceable

Savings Fund

- The accumulation in the Savings Fund may be paid to the nominee or heirs after a period of **one year** following the month of disappearance of the employee.
- The family must lodge a complaint with the police station and obtain a report that the employee has not been traced despite all efforts.
- An Indemnity Bond is taken from the nominee/legal heirs for adjustment of the amount, should the employee reappear.

Insurance Fund

- The insurance cover may be paid to the nominee or heirs of the missing employee after a period of **seven years** following the month of disappearance.
- The claimant has to produce a death certificate or a decree of the court that the employee concerned should be presumed to be dead.

LEGISLATIVE NOTE: The presumption of death after **seven years** of being missing/untraceable was historically governed by Section 108 of the Indian Evidence Act, 1872. With effect from **1 July 2024**, this is governed by **Section 111 of the Bharatiya Sakshya Adhiniyam, 2023** ("Burden of proving that person is alive who has not been heard of for seven years"). The seven-year period remains fully applicable for claiming the CGEGIS Insurance Fund. (The reference to "Section 114 of the BSA" in the earlier edition was incorrect.)

- The insurance amount may be paid to the nominee/heirs of the missing employee even if the date of his superannuation falls before the expiry of the period of seven years following the month of disappearance.

Debarring an Eligible Person from Receiving Insurance Amounts

- If a person eligible to receive the insurance amounts in the event of the death of an employee is charged with the offence of murdering the employee, the insurance amount shall not be paid to him/her until the conclusion of the criminal proceedings instituted against such person.
- No interest is, however, payable on account of the resulting delay in payment.

Review of the Scheme

- The working of the Scheme is reviewed every **three years** to ensure that it remains self-financing and self-supporting.

Forms under the Scheme

CORRECTION: The descriptions of Forms 7 and 8 stood **interchanged in the earlier edition**. The correct position, as per the forms appended to the Scheme (Para 19.7), is given below: **Form 7 = no family; Form 8 = has family**.

- **Form 7**: Nomination when the Government servant has **no family** and wishes to nominate one person or more than one person. (The nomination must specify that it becomes invalid in the event of the subscriber subsequently acquiring a family.)
- **Form 8**: Nomination when the Government servant **has a family** and wishes to nominate one member or more than one member thereof.
- **Form 9**: Group-wise register of members, maintained and kept up to date by the Head of Office.
- **Form 11**: Request for assignment of the insurance cover/Savings Fund in favour of a recognised financial institution.
- **Form 12**: Permission (by the Head of Department) for assignment in favour of a recognised financial institution.
- **Form 13**: Individual record of membership, which is included in the Service Book.